

Accounting Manual for Urban Local Bodies

**Part - 1 : Introduction to Double Entry
Accrual - based Accounting**



Government of West Bengal
Change Management Unit
KOLKATA URBAN SERVICES FOR THE POOR

ACCOUNTING MANUAL FOR URBAN LOCAL BODIES

Part-1: Introduction to Double Entry Accrual -based Accounting



Government of West Bengal
Change Management Unit

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FOREWORD

Urban Local Bodies currently maintain their day-to-day accounts under Cash-based single entry system. This accounting method does not take into consideration receivables, payables, non-cash items of expenditure, provisions etc., for which the real financial picture of the Urban Local Bodies remains obscure. To remove such deficiencies, Govt. of West Bengal is keen to introduce accrual-based double entry accounting system in ULBs in consonance with the current national policy of introducing this system in the local bodies.

Kolkata Urban Services for the Poor, an important programme of the Government of West Bengal assisted by Department for International Development of the Government of United Kingdom, has taken up the task of introducing this modern accounting system in forty of the ULBs. Modern accrual based system of accounting will enable better administration and informed decision-making in the Urban Local Bodies.

The ULBs under KJSP have enthusiastically started the task of converting their accounting system from single entry case based to double entry accrual based. Already significant progress has been made by a number of Urban Local Bodies in preparation of their opening balances.

This Manual comprehensively covers all aspects of the accrual based double entry system which will help the Urban Local Bodies in switching over. This will prove useful to us not only in introduction of this system in the forty ULBs under KJSP but also in extending this system to all ULBs in the State of West Bengal.

I am glad to note that this Manual has been prepared in lines of the National Municipal Accounts Manual of Government of India with necessary customization for the State. This Manual might also prove useful to other states which will take up this task.

I trust that this Manual will be used by the officials of the ULBs entrusted with this work and will make their task easier. I request them to communicate any difficulty they may have in implementing this Manual to the Change Management Unit. All are welcome to give their feedback.

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PRELUDE

The Government of West Bengal has decided to introduce Accounting Reforms in its Urban Local Bodies. The Urban Local Bodies will be gradually switching over to the Accrual Based Double Entry system of Accounting. In the first phase the 40 Urban Local Bodies included in the DFID assisted Kolkata Urban Services for the Poor (KUSP) programme shall be converting to the new system. The Change Management Unit, KUSP has been entrusted with facilitating the conversion of the accounting system in the 40 ULBs. The ULBs were initially given a guideline for preparation of Opening Balances. The rest of the Accounting Manual is now complete and its being brought out for the use of the ULBs.

The Manual comprises 6 (six) parts, viz., (1) Introduction to Double Entry Accrual-based Accounting, (2) Accounting Principles, (3) Guidelines for preparation of Opening Balance Sheet, (4) Chart of Accounts, (5) Forms and Formats, and (6) Transaction Entries. A separate booklet for each of these six parts have been published. The task of implementation of the Accrual-based Double entry Accounting in the ULBs involve a number of stages, such as determination of Accounting Policies and Principles, preparation of Opening Balance Sheet, prescribing various Heads of Accounts with proper condification, prescribing formats of various MIS Reports, and the methodology of recording day-to-day financial transactions. The six parts of the Manual shall take care of these different tasks.

While preparing the Accounts Manual, the prescriptions of the National Municipal Accounts Manual published under the aegis of Ministry of Urban Development, Govt. of India, and the Comptroller & Auditor General of India, have been followed. In some cases the prescribed principles have been customized to suit the conditions of the state. The contents of the present Accounts Manual shall henceforth be the guiding principles in the matters of the Accounting Reforms in the ULBs of West Bengal. After the publication of this Manual, one last task remains i.e. the amendment to the relevant provisions of the W.B. Municipal Act, 1993 and the W.B. Municipal (Finance and Accounting) Rules, 1999. The said task shall be taken up after the process of conversion of accounting system in the first few ULBs in successfully implemented.

I hope this Manual proves useful to all who will be using it. I also request the users of this Manual to give their feedback to the Change Management Unit, KUSP.

I take this opportunity to thank Sri Arnab Roy, the Project Director, and his team in CMU as well as all those associated with preparation of the Manual for their outstanding performance.

Dipankar Mukhopadhyay
Secretary, Municipal Affairs Department
Government of West Bengal

INTRODUCTORY NOTE

Switching over to the accrual based double entry system of accounting by Urban Local Bodies is one of the first of the Municipal Governance reforms being facilitated by the Kolkata Urban Services for the Poor programme. This manual has been prepared for use of the Urban Local Bodies in implementing the modern accounting system. The authors have attempted to make this as user friendly as possible and understandable by all.

The objective of this part of the Manual is to highlight the features of the accrual-based Double entry Accounting in the ULB-environment. Maintenance of day-to-day Accounts under the accrual-based Double entry Accounting system is a completely new phenomenon in the case of Urban Local Bodies. It is a two-way shift from the ULBs' traditional system of accounting -- first, from the cash-based method to the accrual-based one, and second, from single-entry to double-entry accounting system. Here, a conceptual framework has been presented in a simple manner, so that the intricacies of the new system are easily comprehensible to the users of this Manual.

I acknowledge the contribution of the following persons in bringing out this manual:

Shri Atanusasan Mukhopadhyay, Municipal Finance Expert in Charge Management Unit, for leading, coordinating and managing the entire process;

Members of the Steering Committee formed for bringing out the Manual - Shri H. K. Das, Deputy Commissioner, Internal Audit Wing, Finance Department Government of West Bengal, Shri Anup Matilal, Project Manager, Change Management Unit, Kolkata Urban Services for the Poor, Shri Subir Kumar Bhattacharyya, Financial Adviser, SUDA, Sri D.K. Dwivedi, Deputy Municipal Commissioner, Kolkata Municipal Corporation, Sri Bharat Saha, Director of Finance, Kolkata Metropolitan Development Authority, Sri M.M. Alam, Finance Officer, SUDA, Sri Ajit Mullick, Finance Officer Bidhannagar Municipality, Sri Bikash Kanti Mondal, Finance Officer, Barrackpore Municipality, besides Shri Atanusasan Mukhopadhyay. The Steering Committee played an important role in guiding the manual development process and customization to the requirements of our State and ULBs;

The team of Pricewaterhouse Coopers, consultants to C.M.U., especially Shri Tarun Gupta who developed the drafts and redrafted them a number of times as required by the Steering Committee;

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Feedback and suggestions are welcome.

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LIST OF ACRONYMS

<i>BPV</i>	<i>Bank Payment Voucher</i>
<i>BRS</i>	<i>Bank Reconciliation statement</i>
<i>CAG</i>	<i>Comptroller and Auditor General of India</i>
<i>CMU</i>	<i>Change Management Unit</i>
<i>CPV</i>	<i>Cash Payment Voucher</i>
<i>DFID</i>	<i>Department for International Development</i>
<i>GAAP</i>	<i>Generally Accepted Accounting Principles</i>
<i>GoWB</i>	<i>Government of West Bengal</i>
<i>JV</i>	<i>Journal Voucher</i>
<i>KMA</i>	<i>Kolkata Metropolitan Area</i>
<i>MAD</i>	<i>Municipal Affairs Department</i>
<i>MIS</i>	<i>Management Information System</i>
<i>RV</i>	<i>Receipt Voucher</i>
<i>ULB</i>	<i>Urban Local Bodies</i>
<i>URIF</i>	<i>Urban Reforms Incentive Fund</i>
<i>WBMA</i>	<i>West Bengal Municipal Act, 1993</i>

1 INTRODUCTION

- 1.1 The ULBs are currently following single entry cash basis of accounting. The cash basis of accounting records transactions only on receipt and payment of cash (for income and expenditure items) and not when such income and expenses accrue to ULBs. As a result, an analysis of the true and fair view of the activities of the ULBs is not possible as income accrued (but not received) and expenditure incurred (but not paid for), are not reflected in the financial statements of the ULBs.
- 1.2 In terms of the recommendations of the CAG's Task Force on Accounting Reforms for Urban Local Bodies and the National Municipal Accounts Manual released by the Ministry of Urban Development, Government of India, Government of West Bengal has decided to introduce Accrual Based Double Entry System in all ULBs in the State. The Government is also committed to introducing double entry Accrual based accounting system, in view of the Memorandum of Understanding signed with Government of India to access funds under the Urban Reforms Incentive Fund (URIF).
- 1.3 The double entry Accrual system of accounting will replace the existing system of single entry cash based accounting in ULBs.
- 1.4 In all matters not explicitly provided in this Manual, the matters as prescribed in the National Municipal Accounts Manual, issued by the Ministry of Urban Development, Government of India shall be applicable.

2 ACCOUNTING MANUAL

- 2.1 The Accounting Manual shall be applicable at the first phase to all ULBs across KMA and gradually to other ULBS. It shall cover Municipal Corporations as well as Municipalities. The Accounting Manual basically deals with the double entry Accrual system of accounting.
- 2.2 Objectives of the uniform Accounting Manual
 1. To prescribe the Accounting Principles which will be followed by ULBs under the new double entry Accrual system of accounting.
 2. To prescribe a uniform Chart of Accounts, that will facilitate comparison between different ULBs, and facilitate double entry system of accounting.
 3. To prescribe new formats that will have to be followed by the ULBs.
 4. To prescribe Guidelines for preparation of Opening Balance Sheet.
 5. To present some representative accounting entries based on the new system of accounting.

3 STRUCTURE OF THE ACCOUNTING MANUAL

- 3.1 The Accounting Manuals for ULBs in West Bengal, have been divided into the following parts:

Introduction to double entry accrual accounting

1. Introduction to the concepts of double entry based Accrual system of accounting
2. Accounting Principles
3. Guidelines for the Preparation of Opening Balance Sheet
4. Chart of Accounts
5. Forms and Formats
6. Transaction Entries

4 NEW ACCOUNTING SYSTEM

- 4.1 The present system of single entry cash basis of accounting will be replaced by double entry Accrual system of accounting. This Accounting Manual based on double entry Accrual basis of accounting has been developed keeping in view the typical nature of operations of ULBs.
- 4.2 The new accounting system complies with the following requirements, unless mentioned specifically for a different treatment
 - Generally Accepted Accounting Principles i.e. Accounting Standards issued by the Institute of Chartered Accountants of India
 - The West Bengal Municipal Act, 1993.
 - West Bengal Municipal (Finance and Accounting), Rules 1999 (The revised Rules based on double entry Accrual system of accounting, will be notified separately by the Government)
 - National Municipal Accounts Manual issued by the Ministry of Urban Development, Government of India.
- 4.3 The following important reports will be generated from the double entry Accrual system of accounting.
 - Trial Balance
 - Income and Expenditure Statement
 - Balance Sheet
 - Receipts and Payments Account; and
 - Cash Flow Statement

5 DIFFERENCE BETWEEN SINGLE ENTRY CASH BASIS AND DOUBLE ENTRY ACCRUAL BASIS OF ACCOUNTING

- 5.1 The major differences between single entry cash basis of accounting and double entry Accrual basis of accounting is summarised in the following table :-

Introduction to double entry accrual accounting

Basis of Distinction	Single entry cash basis of accounting	Double entry Accrual basis of accounting
<i>Nature of the transactions</i>	All receipts and all payments in cash during a particular Accounting Period are recorded irrespective of the fact whether the transactions actually belong to that period or not.	All income and expenses relating only to a particular Accounting Period are recorded, whether these have been actually received or paid in cash or not.
<i>Accounts</i>	Only personal accounts and Cash Book are opened	Personal, Real and Nominal accounts are opened
<i>Accuracy of results</i>	Accuracy of transactions cannot be verified since all entries are on single entry basis and also no trial balance can be prepared	Since all transactions have a double effect and are on double entry basis, a trial balance can be prepared to check the arithmetical accuracy of the transactions
<i>Financial performance</i>	Financial performance of an entity cannot be ascertained, as no Income and Expenditure Statement can be prepared	Financial performance of an entity can be ascertained by preparing the Income and Expenditure Statement
<i>Financial Position</i>	A Balance Sheet cannot be prepared; only a Statement of Affairs can be prepared which does not give the true and fair view of the entity	The correct financial position of an entity can be ascertained by preparing a Balance Sheet which gives a true and fair view of the entity
<i>Authenticity</i>	This system is not considered authentic by the Financial Institutions, lending agencies and other outside bodies	This system of accounting is well accepted by the Financial Institutions, lending agencies and all other outside bodies

5.2 The difference between Cash basis and Accrual basis of accounting is illustrated below:

1. Income from Property Tax: (The details available from the demand and collection register)

Income due for the previous year: Rs.40,000 (Arrears)

Income due for the current year: Rs.1,20,000 (Current demand)

Income actually received during the year

Arrears: 10,000

Current: 50,000

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Property tax income as per cash basis: Rs.10,000 + Rs.50,000 = Rs.60,000 i.e. cash received

Property tax income as per Accrual basis: Rs.1, 20,000 i.e. current demand.

2. Expenditure : Expenditure relating to insurance premium for vehicles
Insurance expenses paid amounting to Rs 20000, on October 1, 2004 for full one year from October 1, 2004 to September 30, 2005.

Expenditure relating to 2004-05: for the period Oct 1, 2004 to March 31, 2004 = $20000 \times 6 / 12 = \text{Rs } 10,000$

Expenditure relating to 2005-06: For the period April 1, 2005 to September 30, 2005 = $20,000 \times 6 / 12 = \text{Rs } 10,000$

Expenditure under cash system = 20,000 i.e. cash paid

Expenditure under Accrual system = 10,000 i.e. expenditure related to this year. The payment related to the period April 1, 2005 to September 30, 2005 will be shown as a Prepaid Expense.

6 ACCOUNTING DOCUMENTS

- 6.1 The accounting documents can be classified into the following based upon the nature of transactions.
 1. Primary accounting documents
 2. Primary Books of Accounts
 3. Ledgers
 4. Trial Balance

PRIMARY ACCOUNTING DOCUMENTS

- 6.2 The primary accounting document would reflect the evidence of the financial transaction.
- 6.3 The following primary accounting documents would be used by the ULBs
 1. Bank Payment Voucher (B.P.V)
 2. Receipt Voucher (R.V)
 3. Cash Payment Voucher (C.P.V)
 4. Journal Voucher (J.V)
- 6.4 Bank Payment Voucher will be used by the ULBs for making payments out of bank. The bank payment voucher would indicate the abstract of expenditure met by cheque. No cheque shall be drawn without a BPV and a corresponding entry will be made in the Cash Book .All information as prescribed in the Bank Payment Voucher, shall be duly filled in.

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- 6.5 Receipt vouchers can be of two types; Cash Receipt Voucher and Bank Receipt Voucher. The mode of the receipt shall be duly filled in the column for mode of receipt i.e. cash or bank. No receipt shall be accounted for in the Cash Book, unless a Receipt Voucher has been prepared for the same.
- 6.6 Cash payment voucher, shall be used by the ULBs for recording any payments made in cash.
- 6.7 Journal voucher shall be used for recording all non-cash transactions.

PRIMARY BOOKS OF ACCOUNTS

- 6.8 All the transactions recorded in the voucher are reflected in the primary books of accounts. The primary books of accounts, in the case of ULBs shall be the following
 - 1. Cash Book
 - 2. Journal book

CASH BOOK

- 6.9 Cash Book shall record all cash and bank transactions. This will reflect all transactions, with inputs from B.P.V, R.V, and C.P.V.
- 6.10 The Bank balance as per the Bank Statement shall be reconciled with the balance as per Cash Book, by preparing the Bank Reconciliation Statement (BRS). The BRS identifies all deposits made by ULB into the bank but not credited by the bank and also the cheques issued by the ULB but not presented for payment by the payees as on the date of reconciliation. The BRS also identifies direct Debits or Credits made by the bank in respect of the bank charges or deposits directly made into the bank. The ULBs shall account for such transactions on reconciliation.

JOURNAL BOOK

- 6.11 The Journal Book shall reflect all non-cash/ bank transactions with the inputs from the JVs.
- 6.12 In the case of computerised accounts, Journal Book is generated from the system on the basis of the vouchers input into the system.

LEDGERS

- 6.13 Ledgers record all transaction relating to a particular account head, indicating the transactions that have taken place in respect of a given account head. For instance all transactions relating to "Property tax income from residential buildings" would be reflected in the Ledger code 1100101.
- 6.14 In the case of computerised system, Ledger is generated from the system on the basis of voucher input into the system.

TRIAL BALANCE

- 6.15 A Trial Balance is a list of balances in all Ledger accounts and cash and bank balances as per cash and bank books. The Debit and Credit for each account head in the Ledger are totalled and the net Debit or Credit balance in these accounts is computed and the balances are arrived at in the Trial Balance.
- 6.16 The trial balance has separate columns for Debit and Credit balances. The total of Debit and Credit balances in the trial balance shall tally which ensures the arithmetical accuracy of the accounting transactions.

7 FINANCIAL STATEMENTS

- 7.1 Financial Statements consist of the following:

1. Income and Expenditure Statement
2. Balance Sheet

INCOME AND EXPENDITURE STATEMENT

- 7.2 The Income and Expenditure Statement shows the financial performance of the ULB for the period covered by the Statement. If the Statement is prepared annually then the Statement will show the yearly performance of the ULB. It will show the Excess of Income over Expenditure or vice-versa i.e. Surplus or Deficit for the period covered under the Statement.

BALANCE SHEET

The Balance Sheet of the ULB shall show the financial position of the ULB at a given point of time. The Balance Sheet prepared as on March 31, 2005 will show the financial position of the ULB, end of business, as on March 31, 2005.

8 DEFINITIONS

- 8.1 This section covers the definitions and relevant explanation of various terms and phrases that have been used in the Accounting Manual.
1. *Account*: A formal record of a particular type of transaction expressed in money and kept in a Ledger.
 2. *Accounting Entry*: A record of financial transaction in the books of account like journal, Ledger, Cash Book, etc.
 3. *Account Payable*: Amount owed by an enterprise on account of goods purchased or services received or in respect of contractual obligations, also termed as Trade Creditor or Sundry Creditor.
 4. *Accounting Period*: The period of time for which an operating statement is customarily prepared.
 5. *Accounting Principle*: Any one of the general principles and procedures under which the accounts of an individual organisation are maintained. An accounting Principle is an adaptation or special application of a principle necessary to meet the peculiarities of an

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organisation or the needs of its management. Thus, principles are required for the computation of Depreciation, the recognition of Capital Expenditures, and the disposal of retirements.

6. *Accounting policies:* The Accounting Policies refer to the specific Accounting Principles and the methods of applying those principles adopted by the enterprise to the preparation and presentation of financial statements.
7. *Account receivable:* Person from whom amounts are due for goods sold or services rendered or in respect of contractual obligations. Also termed as Debtor, Trade Debtor, and Sundry Debtor. The words 'Receivables' and 'Debtors' are used interchangeably.
8. *Accounting Unit:* An accounting unit shall be defined as a Zone, Circle, Division or Ward office identified by the ULB as a unit for maintenance of accounting records.
9. *Accounting Year:* The "Official Year" or "Year" means a year commencing on the first day of the Accounting period.
10. *Accrual:* Recognition of revenues and costs as they are earned or incurred (and not as money is received or paid). It includes recognition of transactions relating to assets and liabilities as they occur irrespective of the actual receipts or payments.
11. *Accrual basis of accounting:* The method of accounting whereby revenues and expenses are identified with specific periods of time, such as a month or year, and are recorded as incurred, along with acquired assets, without regard to the date of receipt or payment of cash.
12. *Accrued and due expense:* In respect of an asset (or a liability) it means an enforceable claim which arises from the sale/ rendering (purchase) of goods/ services or otherwise and has become receivable (payable). In respect of an income (or an expense) it means the amount earned (incurred) in an Accounting Period, for which a claim has become enforceable, and it arises from the sale/ rendering (purchase) of goods/ services or otherwise and has become receivable (payable).
13. *Accrued but not due expenses :* In respect of an asset (or a liability) it means a claim which has not yet become enforceable, which accumulates with the passage of time or arises from the sale/rendering (purchase) of goods/services which, on the date of period-end, have been partly performed and are not yet receivable (payable). In respect of an income (or an expense) it means the amount earned (incurred) in an Accounting Period, but for which no enforceable claim has become due in that period. It accumulates with the passage of time or arises from the sale/rendering (purchase) of goods/services goods which, at the date of accounting, have been partly performed and are not yet receivable (payable).

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14. *Accumulated Depreciation:* The total to date of the periodic Depreciation charges on depreciable assets.
15. *Advance:* Payment made on account of, but before completion of, a contract, or before acquisition of goods or receipt of services.
16. *Amortisation:* *Amortisation* is the gradual and systematic writing off of an asset or an account over an appropriate period. The amount on which Amortisation is provided is known as amortisable amount. Depreciation accounting is a form of Amortisation which is applicable to depreciable assets. Depletion accounting is another form of Amortisation applied to wasting assets. Amortisation also refers to gradual extinction or provision for extinction of a debt by gradual redemption or Sinking fund payments or the gradual writing off to revenue of miscellaneous expenditure carried forward.
17. *Asset:* Assets are tangible or intangible rights owned by the ULBs and carrying probable future benefits.
18. *Annual Report:* Any report prepared at yearly intervals. A statement of the financial condition and operating results of an ULB, prepared yearly for submission to interested parties; summarising its operations for the preceding year and including a balance sheet, income & expenditure statement, often a receipts & payment statement, and the auditor's report, together with comments by the Head of Council or the Municipal Commissioner of the ULB on the year's operations.
19. *Assigned Revenues:* Assigned revenues are revenues in the nature of a share in the revenues of the state government, to compensate for certain losses in revenue and arrangement of resources of the ULBs. The ratio of the share in revenues is determined on the basis of the revenues collected by ULBs and the recommendations of the State Finance Commissions and devolution of funds to ULBs.
20. *Asset Replacement Fund:* A fund created for the purpose of replacement of an asset. The fund shall normally be equal to the amount of Depreciation provided on the Fixed Assets and shall be utilised only for the purpose of replacement of those Fixed Assets or for any other purpose as resolved by the ULBs.
21. *Audit report:* Audit report is the formal expression of opinion by an independent external/internal auditor on the financial statements of a municipality, including such observations, reservations, qualifications and negations as may be called for and incorporating, where appropriate, such statutory affirmations as may be prescribed.
22. *Bad debts:* The debts owned to ULBs which are considered to be irrecoverable. e.g., arrears of taxes, fees and other revenue left uncollected and considered to be irrecoverable.

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23. *Balancing*: In order to balance an account, the two sides, namely Debit and Credit are totalled up separately and the difference is ascertained. This difference is put on the side that is lower to balance the two sides of an account.
24. *Balance Sheet*: A statement of the financial position of an ULB as at a given date, which exhibits its assets, liabilities, capital, reserve and other account balances at their respective book values.
25. *Bank reconciliation statement*: A statement which reflects the nature and amount of transaction, not responded either by the ULB or the Bank as on a particular date. Such statement may also reflect errors/omission in the recording of transaction inter-se between the ULB and the Bank .
26. *Books of Original Entry*: A record book, recognised by law or custom, in which transactions are successively recorded, and which is the source of postings to Ledgers; a journal. Books of original entry include general and special journals, such as Cash Books.
27. *Budget*: It means quantitative plan of activities and programmes expressed in terms of money in respect of assets, liabilities, revenues and expenses. The budget expresses the ULB goals in terms of specific financial and operating objectives.
28. *Book value*: The book value is the amount at which an item appears in the books of account or financial statements. The book value may be either the cost price, replacement cost, revalued cost, residual value, salvage value or estimated cost.
29. *Borrowing costs*: Borrowing costs are the interest and other costs incurred by the ULB in connection with the borrowing of funds.
30. *Capital grants*: Capital grants are grants which are received by ULBs, for Capital Expenditures.
31. *Capitalisation*: An expenditure for a Fixed Asset or addition thereto that has the effect of enlarging physical dimensions, increasing productivity, lengthening future life, or lowering future costs.
32. *Capital Expenditure*: An expenditure intended to benefit future period in contrast to a Revenue Expenditure, which benefits a current period. The term is generally restricted to expenditure that adds Fixed Asset units or that has the effect of improving the capacity, efficiency, life span or economy of operations of an existing asset.
33. *Capital work -in-progress*: Expenditure on capital assets which are in the process of construction or completion.
34. *Cash Book*: A book of original entry for cash receipts, disbursements, or both.

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35. *Cash flow Statement:* A financial statement prepared for an Accounting Period to depict the inflows and outflows of cash and cash equivalents of an enterprise. The cash flow statement reports cash flows classified by operating, investing and financing activities.
36. *Chart of Accounts:* A systematically arranged list of accounts applicable to a specific concern, giving account names and numbers, if any.
37. *Code of Account:* A unique numeric or alphanumeric identification given to each Account to facilitate classification and ease of recording.
38. *Contingent liability:* An obligation relating to an existing condition or situation, which may arise in future depending on the occurrence or non occurrence of one or more future events.
39. *Contra Entry:* An item on one side of an account which offsets fully or in part one or more items on the opposite side of the same account.
40. *Control Account:* Control account is an account in the general Ledger that consists of related sub-accounts. The total of the related sub-accounts should total the balance in the related control account.
41. *Cost:* The amount of expenditure incurred on or attributable to a specified article, product or activity.
42. *Cost of Acquisition:* The cost of acquisition of a Fixed Asset comprises its purchase price and includes import duties and other non-refundable taxes or levies and any directly attributable cost of bringing the asset to its working condition for its intended use; any trade discounts and rebates are deducted in arriving at the purchase price.
43. *Cost of Investment:* The amount of expenditure incurred on or attributable to the purchase/acquisition of an investment. The cost of an investment amongst others includes acquisition charges such as brokerage, fees and duties.
44. *Cost of Purchase:* Cost of purchase is the amount paid or payable for the acquisition of a good or service. The cost of purchase also includes other incidental cost such as duties, taxes, freight, octroi and other costs incurred to bring the goods to present location and situation. The cost of purchase shall be reduced by any trade discounts, rebates, or duty draw back received by ULB.
45. *Credit:* A book-keeping entry recording the reduction or elimination of an asset or an expense, or the creation of or addition to a liability or item of net worth or revenue; an entry on the right side of an account; the amount so recorded
46. *Current assets:* Cash and other assets that are expected to be converted into cash or consumed in rendering of services in the normal course of operations of the ULBs.

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47. *Current liabilities*: Liability including loans, deposits and bank overdrafts which fall due for payment in a relatively short period, normally not more than twelve months.
48. *Debenture*: A formal document constituting acknowledgement of a debt by an ULB, usually given under its common seal and normally containing provisions regarding payment of interest, repayment of principal and security, if any. It is transferable in the appropriate manner.
49. *Debit* : The goods or benefit received from a transaction; a book-keeping entry recording the creation of or addition to an asset or an expense, or the reduction or elimination of a liability, or item of net worth or revenue; an entry on the left side of an account; the amount so recorded.
50. *Deficit*: The excess of expenditure over income of the ULB for an Accounting Period under consideration.
51. *Deposit works*: Deposit works denote the amount which is received by ULBs for the construction works, on behalf of third persons. The deposit works are generally received from the MPLADS, MLA Funds (BEUP) and Zilla Parishads.
52. *Depreciation*: A measure of the wearing out, consumption or other loss of value of a depreciable asset arising from use, effluxion of time or obsolescence through technology and market changes. It is allocated so as to charge a fair proportion in each Accounting Period during the useful life of the asset. It includes Amortisation of assets whose useful life is predetermined and depletion of wasting assets.
53. *Depreciable asset*: An asset which is expected to be used during more than one Accounting Year, has a limited useful life, and is held by the ULBs for use in the supply of goods and services, for rental to others, or for administrative purposes and not for the purpose of sale in the ordinary course of operations of the ULB.
54. *Depreciable amount*: The historical cost, or other amount substituted for historical cost of a depreciable asset in the financial statements, less the estimated residual value, if any.
55. *Depreciation method*: The arithmetic procedure followed in determining a provision for Depreciation (an expense) and maintaining the accumulated balance.
56. *Depreciation Rate*: A percentage which when applied to the depreciable amount will yield Depreciation expense for a year.
57. *Dividend Income*: An income received from investments by a ULB in shares/units.

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58. *Earmarked Funds*: Funds representing Special Funds to be utilised for specific purposes.
59. *Expenses*: A cost relating to the operations of an Accounting Period or to the revenue earned during the period the benefits of which do not extend beyond that period.
60. *Financial Statement*: A balance sheet, income statement (income and expenditure), receipts & payment statement or any other supporting statement or other presentation of financial data derived from accounting records.
61. *Freehold land*: Freehold lands are those lands which are in the absolute possession of owner for all times.
62. *Fund* : The term fund refers to the amount set aside for a general or specific purpose, whether represented by specifically earmarked investments or not.
63. *FIFO method*: It is a method for determining the cost of inventory at a given date. According to this method of determination of cost, commodities which come first are assumed to be consumed first. The valuation of inventory is therefore done at the price for which the commodities were last purchased.
64. *Finance Lease*: A Finance Lease is a Lease that transfers substantially all the risks and rewards incidental to the ownership of an asset, to the lessee.
65. *Financial year*: Financial year is a period of twelve months starting from April 1 and ending March 31 of the next year.
66. *Fixed Asset* : Asset held for the purpose of providing services and that is not held for resale in the normal course of operations of the ULB.
67. *Fixed Deposit* : Deposit for a specified period and at specified rate of interest.
68. *Folio reference* : A page number or voucher or other number in a book or document of original or final entry which refers to the disposition or source of an entry or posting.
69. *Grants* : Grants are assistance by government in cash or kind to an enterprise for past or future compliance with certain conditions. They exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the enterprise.
70. *Gross Block* : The total cost of acquisition/purchase of all the Fixed Assets of the ULB.
71. *Hire Purchase* : Hire purchase agreement is a contract (more often called contract of hire with an option of purchase) in which a person

hires goods for a specified period and at a fixed rent, with the added condition that if he shall retain the goods for the full period and pay all the instalments of rent as they become due, under the contract the title shall vest absolutely in him.

72. *Income*: Money or money's equivalent earned or accrued during an Accounting Period, increasing the total of previously existing net assets, and arising from provision of any type of services and rentals.
73. *Income and expenditure statement*: A financial statement, often prepared by non-profit making entities like clubs, associations, ULBs, etc., to present their revenues and expenses for an Accounting Period and to show the excess of revenues over expenses (or vice-versa) for that period. It is similar to profit and loss statement and is also called revenue and expense statement.
74. *Interest*: The service charge for the use of money or capital, paid at agreed intervals by the user, and commonly expressed as an annual percentage of outstanding principal.
75. *Infrastructure assets*: Those assets with the characteristics of being a part of a system or network, specialised in nature and not having alternative uses, immovable, and subject to constraints on disposal.
76. *Intangible assets*: Intangible assets are assets which do not have a physical identity and which cannot be seen or felt, e.g., Goodwill, patents, trademarks, licensee fees.
77. *Inventories*: Inventories are the assets which are held for sale in the ordinary course of business, in the process of production for such sale, in the form of materials or supplies to be consumed in the production process or in the rendering of services.
78. *Investments*: Assets held not for operational purposes nor for rendering services, i.e., assets other than Fixed Assets or current assets (e.g. securities, shares, debentures, immovable properties).
79. *Inter unit transactions*: Transactions between one or more accounting units of the Urban Local bodies.
80. *Journal Book*: The book of original entry in which are recorded transactions not provided for in specialised journals.
81. *Joint Venture*: Joint Venture is a contractual arrangement whereby two or more parties undertake an economic activity to share expertise in a single defined project which is subject to joint control.
82. *Lapsed Deposits* : Deposits unclaimed for more than such period or periods as defined in the act or provisions governing the ULBs.
83. *Ledger*: A compilation of all accounts used for accounting purposes.
84. *Leasehold lands*: Leasehold lands are lands which are under a Lease agreement to use the lands for a substantial period of time.

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85. *Lease*: A Lease is an agreement whereby the lessor conveys to the lessee in return for a payment or series of payments the right to use an asset for an agreed period. A Lease agreement also includes a Hire Purchase agreement. A Lease is classified as a finance Lease if it transfers substantially the entire risks and rewards incident to ownership. All other Leases are classified as operating Leases.
86. *Lessee*: Lessee is a person who takes the assets on Lease.
87. *Lessor*: Lessor is a person who gives the asset on Lease.
88. *Liability*: An amount owing by one person to another, payable in money, or in goods or services; the consequence of an asset or service received or a loss incurred or accrued; particularly, any debt (a) due or past due (current liability), (b) due at a specified time in the future (e.g. funded debt, accrued liability), or (c) due only on failure to perform a future act (contingent liability).
89. *Long term investments*: Any investment falling outside the ambit of current investments are treated as long-term investments.
90. *Mortgage*: A lien on land, buildings, machinery, equipment, and other property, fixed or movable, given by a borrower to the lender as security for his loan; sometimes called a deed of trust.
91. *Municipal fund*: The municipal or general fund is the general operating fund of a ULB. It is used to account for all financial resources except those related to any special or trust funds.
92. *Narration* : A brief description written below an Accounting Entry. It is normally written in brackets and starts with the word "Being". It explains as to why the entry has been recorded and other related aspects of the entry.
93. *Materiality*: Material items are those items, knowledge of which might influence the decision of the users of financial statements.
94. *Net Assets*: The excess of the book value of the assets of an accounting unit over its liabilities to outsiders.
95. *Net Block*: Gross Block less Accumulated Depreciation of all the Fixed Assets of the ULB.
96. *Period End*: The last day of any Accounting Period, e.g., quarter, half-year, year-end.
97. *Posting*: An act of entering separately the Debit and Credit aspects of transactions from the books of original entry in respective accounts maintained in the Ledger.
98. *Notes on account*: Each Note on account is an addendum to the financial statements, which contains the details with regard to deviations from the Accounting Policies. It also contains disclosures as may be required by the law.

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99. *Operating Lease*: An operating Lease is a Lease that does not transfers substantially all the risks and rewards incidental to ownership of an asset. Operating Lease is basically a right to use the asset, for a short period of time.
100. *Outstanding expenses*: Outstanding expenses are the expenses relating to the current year, which remain unpaid at the end of the financial year.
101. *Prepaid expenses*: Payment for expense in an Accounting Period, the benefit for which will accrue in the subsequent Accounting Period(s).
102. *Prior period expenses*: Prior period expenses are the items of income or expenses which arise in the current year, as a result of error or omission in the preparation of financial statements of one or more prior Financial years.
103. *Provisions*: Provision is the amount which is written off or provided for a liability, expense, or a diminution in the value of Fixed Asset, the amount of which cannot be ascertained with reasonable accuracy.
104. *Provision for Expense*: An amount written off or retained by way of providing for Depreciation or diminution in value of assets or retained by way of providing for any known liability the amount of which cannot be determined with substantial accuracy.
105. *Provision for Unrealised Revenue*: A provision made for revenue considered doubtful of recovery.
106. *Prudence*: The prudence is a one of the criteria for selection of Accounting Policies .It means that in view of the uncertainty attached to future events, profits are not anticipated but recognised only when realised though not necessarily in cash. Provision is made for all known liabilities and losses even though the amount cannot be determined with certainty and represents only a best estimate in the light of available information.
107. *Qualifying Fixed Asset*: A Qualifying Fixed Asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale. Ordinarily a period of twelve months is considered as substantial period unless a shorter or longer period can be justified on the basis of facts and circumstances of the case. In estimating the period, the period of time which an asset takes, technologically and commercially, to get ready for its intended use or sale should be considered.
108. *Receipt*: A written acknowledgement of something acquired; hence, an accounting document recording the physical receipt of cash/cheques.
109. *Receipts and payment Statement*: A financial statement prepared for an Accounting Period to depict the changes in the financial position

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and to present the cash received in and paid out in whatever form (cash, cheques, etc.) under certain headings. All non-cash related transactions are ignored while preparing this Statement.

110. *Reconciliation*: It means adjusting the difference between two items (i.e. amounts, balances, accounts or statements) so that the figures agree.
111. *Retirement benefits*: Retirement benefits are the benefits in the form of provident fund, gratuity, pension and other retirement benefits payable to ULB employees.
112. *Revenue Expenditure*: It means outlay benefiting only the current year. It is treated as an expense to be matched against revenue.
113. *Revenue grant*: Revenue grants are the grants, which are received for meeting Revenue Expenditure.
114. *Short term investments*: Those investments which are readily realisable, and are intended to be held for not more than twelve months from the date of investment.
115. *Sinking fund*: A fund created for the repayment of a liability or for the replacement of an asset.
116. *Special Fund*: An amount set aside for a specific purpose represented by specifically earmarked assets.
117. *Straight-line method of Depreciation*: The method under which the periodic charge for Depreciation is computed by dividing the depreciable amount of a depreciable asset by the estimated number of years of its useful life.
118. *Sub-Account*: One or more accounts that make up the Control Account. These sub-accounts are related to the control account and provide more detail of the Control Account. The total of the related sub-accounts will equal the related Control Account.
119. *Substance over form*: Substance over form is one of the criteria for selection of Accounting Policies according to which the transactions and events will be recorded and governed by substance and not merely by legal form.
120. *Sundry Creditors*: Sundry Creditors are persons to whom, amount is due from municipality on account of goods purchased or services received or in respect of contractual obligations. Sundry Creditors are also known as trade Creditors or Accounts Payables.
121. *Surplus*: The excess of income over expenditure of the ULB for an Accounting Period under consideration.
122. *Trial balance*: A list or abstract of the balances or of total Debits and total Credits of the accounts in a Ledger, the purpose being to

determine the equality of posted Debits and Credits and to establish a basic summary for financial statements.

- 123. *Useful life:* (i) The period over which a depreciable asset is expected to be used by the enterprise; or (ii) the number of production or similar units expected to be obtained from the use of the asset by the enterprise.
- 124. *Voucher:* A document which serves as an authorisation for any financial transaction and forms the basis for recording the Accounting Entry for the transaction in the books of original entry, e.g., Cash Receipt Voucher, Bank Receipt Voucher, Journal Voucher, Payment Voucher, etc.
- 125. *Work in progress:* Goods in the process of production for their sales or usage.

9 GENERAL PRINCIPLES OF DOUBLE ENTRY ACCRUAL BASIS OF ACCOUNTING

- 9.1 The financial statements of the ULBs shall be made on the basis of double entry Accrual system of accounting.
- 9.2 The accounts and the financial statements of the ULBs are based on a set of Accounting Principles. The Accounting Principles have been stated in a separate part of the Accounting Manual.
- 9.3 Accounting policies refer to the specific Accounting Principles and the methods of applying those principles adopted by the ULB in the preparation and presentation of financial statements.
- 9.4 The need for the Accounting Policies arises, generally because particular accounting transactions can be recorded in more than one way. Example can be that Depreciation can be charged either on a straight line basis, or on written down value basis.
- 9.5 To avoid ambiguity in the preparation of the financial statements, and to inform the users of the financial statements, the principles which have been used for preparing financial statements, are adopted and disclosed.

FUNDAMENTAL ACCOUNTING ASSUMPTIONS

- 9.6 Fundamental accounting assumptions are those which underlie the preparation of the financial statements.
- 9.7 The fundamental accounting assumptions are not disclosed in the financial statements, as it is assumed that the financial statements are based on these fundamental Accounting Principles. Disclosure of these fundamental accounting assumptions is required, when they are not being followed.

9.8 The fundamental accounting assumptions are

1. **Going concern:** The financial statements are prepared; assuming that the ULB is a going concern. The ULB will continue to be in operation for the foreseeable future and ULBs will not be curtailing the materiality of the scale of operations.

The Going Concern basis seeks to assume that the ULB will continue for an indefinite period and thus will be a going concern. Accounting Policies have been so adopted that it conforms to the assumption of a Going Concern and operations being continued on a perpetual basis, e.g. in case demand raised is not collected in the current year, the same is taken as an arrear.

2. **Consistency:** This principle assumes that the Accounting Policies being followed by ULBs are consistent from one period to another.

Accounting Policies should be adopted in such a manner that it is consistent from one financial period to another, e.g. in case straight line method is used for charging depreciation, the same should be used consistently and should not be changed every year.

3. **Accrual:** Revenues and costs are accrued, that is, recognised as they are earned or incurred (and not as money is received or paid) and recorded in the financial statements of the periods to which they relate. If the ULBs are not following the Accrual system in its entirety, then the items or the transactions for which the Accrual system is not followed, shall be disclosed.

10 PROCEDURE FOR REVIEW AND CHANGE IN THE MANUAL

- 10.1 Any Urban local body seeking change/ clarification in the Accounts Manual, shall take up the issue with the Municipal Affairs Department (MAD) or any other authority as may be notified by the Municipal Affairs Department, Government of West Bengal. The respective formats for seeking change/ clarification, are as follows:

11 CHANGE REQUEST FORM

(This Form shall be used by the ULBs for sending their requests to Municipal Affairs Department or any other authority as may be authorised by Municipal Affairs Department for any change in the Accounting Manual.)

Name of ULB	Request no

Name of the person requesting change	Date

Details of the change required		
Chapter reference	Topic reference	Description

Details of Addition required		
Chapter reference	Topic reference	Description

Change requested for (Reason for change and details to be added/amended)

12 CLARIFICATION REQUEST FORM

(This Form shall be used by the ULBs for sending their requests to Municipal Affairs Department or any other authority as may be authorised by Municipal Affairs Department for any clarification in the Accounting Manual.)

Name of ULB	Request no

Name of the person requesting change	Date

Details of the clarification required		
Chapter reference	Topic reference	Description

Clarification Required